

Tesla, Inc.
TSLA NASDAQ

Hold	\$357.76 ▼ 3.86%	12M Price Target \$385.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.41T
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TSLA: Cybercab Federal Deadline Looms, Bears Piling On

WHAT HAPPENED

- Stock dumped 3.86% on heavy volume as traders positioned ahead of Tesla's federal filing deadline on the Cybercab (their steering-wheel-free robotaxi). NHTSA — the federal auto safety regulator — has been asking pointed questions, and the market's clearly nervous the answers won't be good enough for a smooth rollout.
- Options flow is screaming caution — someone dropped ~\$44M on \$360 puts expiring this week at 41x normal open interest. That's not a hedge, that's a directional bet the stock keeps sliding into the news.

WHY IT MATTERS

This isn't just a random pullback — it's a positioning move ahead of a binary regulatory event. If Cybercab gets a green (or even yellow) light from NHTSA, the stock likely rips back to \$380+ fast because the whole AI/autonomy narrative gets validated. But here's the bigger picture nobody's connecting: the Trump administration killed the \$7,500 EV tax credit effective Sept 30 (two days from now), so Tesla's core auto business is about to face a demand cliff in Q4 — which is exactly why the robotaxi/AI story HAS to work to justify the \$1.4T market cap. The trial in California (Autopilot liability) is another overhang that could set precedent for how self-driving crashes get litigated, which matters way more for Cybercab economics than most people realize.

POLICY & POLITICAL WATCH

Two policy items dominate: (1) the federal EV tax credit expires September 30 under the "One Big Beautiful Bill" — meaning Tesla loses a \$7,500 per-car subsidy that was juicing US demand, and Q4 deliveries are likely to disappoint. (2) NHTSA's Cybercab review is the make-or-break federal decision — the Trump administration has signaled it wants to loosen autonomous vehicle rules (a tailwind), but Tesla has to actually satisfy the safety questions first. Also watch China tariff talks — Tesla's Shanghai gigafactory is a huge earnings contributor, and any escalation cuts both ways on their supply chain.

IS IT EXPENSIVE?

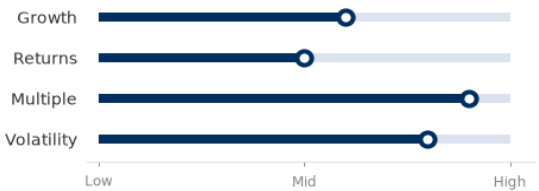
At ~\$358, TSLA trades around 166x forward earnings — meaning you're paying \$166 for every \$1 of profit the company is expected to make next year, versus roughly 8x for Ford and GM. That premium only makes sense if you believe robotaxi and Optimus (their humanoid robot) become real businesses within 2-3 years. Strip out the AI story and this is a \$150 stock — so you're essentially paying \$200/share for the option on autonomy working.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$357.76
12M Price Target	\$385.00
Upside / (Downside)	+7.6%
Market Cap	\$1.41T
FY2026E Revenue	\$108M
FY2027E Revenue	\$132M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.05
Fwd P/E	166.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$400.00	\$365.00	\$320.00
6 Months	\$475.00	\$385.00	\$290.00
1 Year	\$550.00	\$400.00	\$260.00
2 Years	\$700.00	\$450.00	\$220.00
5 Years	\$1100.00	\$600.00	\$180.00
10 Years	\$2000.00	\$800.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare and Staples caught a bid today — classic defensive rotation when bond yields spike (yields up = growth stocks down). AI infrastructure names (Nvidia) still working because the capex cycle is real regardless of macro.

COOLING OFF: Utilities and Real Estate got smoked (-3% on the week) because higher yields make their dividends less attractive — same yield pressure hitting TSLA's premium multiple.

ROTATION WATCH: Money is leaving long-duration growth (TSLA, high-multiple tech) and moving into defensives and AI winners with actual earnings. TSLA is stuck in an awkward middle — too expensive to be a value name, not profitable enough to be a pure AI play.

RELATED PLAY: If you like the autonomy theme but want less binary risk, look at Mobileye (MBLY) or the LiDAR names — they benefit if AV regulation loosens without needing to build cars.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Rallying while everything sells off — proof that "real AI earnings" beats "AI narrative" in a risk-off tape.
- GM (General Motors): Actually up on the EV credit expiration because it hurts them less than Tesla proportionally and they trade at 8x earnings so there's no premium to unwind.

TSLA CONTEXT: TSLA is lagging both mega-cap tech AND its auto peers today — that's a red flag suggesting this isn't just macro, it's Tesla-specific concern about Cybercab and the tax credit cliff. When a stock underperforms both of its potential peer groups, sentiment is genuinely deteriorating.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term AI/robotaxi story but the setup into this week is unfavorable and the valuation gives you no margin of safety.

POSITION SIZE: 2-4% — this is a volatile name with binary catalysts, so size it small enough that a 20% drawdown doesn't ruin your month.

ENTRY POINTS: I'd want to buy the \$320-340 zone if we get a macro flush or a Cybercab delay headline — that's where risk/reward flips positive.

TIME HORIZON: 12-24 months — you need Q4 deliveries, Cybercab rollout, and Optimus updates to all play out before the thesis is proven or broken.

WHEN TO BAIL: If auto gross margins fall below 15%, if Musk formally reduces his Tesla role for xAI/SpaceX, or if NHTSA rejects the Cybercab design — any of those and I'm out.

HEDGING: Simplest hedge is to buy a put — think of it like insurance on your shares. Alternatively, pair the TSLA long with a short in a legacy automaker like Ford so you're betting on Tesla winning the AI race, not just car demand.